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ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

IRELAND

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

MARCH 1969

BASIC STATISTICS OF IRELAND

THE LAND

Area (thousands sq. km.)	69
Agricultural area (average 1961-66) as % of total area	67

Population of major cities, with suburbs, 1966 census:	
Dublin, Co. Borough	647 000
Cork, Co. Borough	126 000
Dun Laoghaire, Co. Borough	85 000
Limerick, Co. Borough	57 000

THE PEOPLE

Population (April 1968)	2 910 000
No. of inhabitants per sq. km.	42
Increase in population:	
Annual average 1961-68	11 400
Natural increase in population:	
Annual average 1961-66	29 250

Emigration:	
Annual average 1961-66	16 800
Annual average per thous. of population	6
Labour force, total at work, April 1968	1 065 000
Employment in:	
Agriculture	313 000
Industry and construction	303 000
Other sectors	449 000

PRODUCTION

Gross national product in 1968 ((£ million at market prices)	1 253
GNP per head (US dollars) (1968)	1 033
Gross fixed investment (1968):	
as % of GNP	20.4
per head (US dollars)	210

Origin of gross domestic product in 1967:	(per cent)
Agriculture, forestry and fishing	19.5
Industry and construction	33.5
Services	47.0

THE GOVERNMENT

Public current expenditure on goods and services, 1968 (as per cent of GNP)	13
General government current revenue, 1967-68 (as % of GNP in 1967)	33
Public debt, 31st March 1968 (as per cent of central government current revenue 1967-68)	252

Composition of Parliament (March 1969):	seats
Fianna Fail	74
Fine Gael	46
Labour	19
Others	4

Last election: April 1965.

LIVING STANDARDS

Food consumption, calories per head per day (1964)	3 460
Average weekly earnings of industrial workers in June 1968 (in shillings)	260
Government current expenditure on education per head, in US dollars (est. 1968-69)	34

No. of passenger cars in use per thousand of population (1966)	104
No. of telephones per thousand of population (year ended 31st March 1966)	75
No. of radio and television licences per thousand of population (1966)	283

FOREIGN TRADE

Exports:	
Exports of goods and services as per cent of GNP, 1968	35.5
Main exports, 1967 (per cent of total domestic exports):	
Meat and meat preparations	21
Live animals	19
Dairy products and eggs	7
Machinery and electrical goods	5
Textile manufactures	4
Clothing	4
Beer	3
Textile fibres and waste	2
Main customers, 1967 (per cent of total):	
United Kingdom	72
European Economic Community	9
United States	9

Imports:	
Imports of goods and services as per cent of GNP, 1968	40.9
Main imports, 1967 (per cent of total):	
Machinery and electrical goods	24
Chemicals, including fertilizers	9
Petroleum and products	8
Textile manufactures	6
Main suppliers, 1967 (per cent of total):	
United Kingdom	50
European Economic Community	15
United States	8

THE CURRENCY

Monetary unit: Irish pound.

Currency unit per US dollar: 0,417

OECD ECONOMIC SURVEYS

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IRELAND

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed :

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy ;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development ;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are : Austria, Belgium, Canada, Denmark, Finland, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

The Socialist Federal Republic of Yugoslavia is associated in certain work of the OECD, particularly that of the Economic and Development Review Committee.

This document was approved
by the Economic and Development Review Committee
in March 1969.

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INTRODUCTION

Growth of total output in 1968, at about 5 per cent, was higher than in any year after the war and reduced the unused production potential which was left over from the recession in 1965/66. In the first phase of the upturn, demand for Irish exports and a sharp rise in public and private fixed investment were the main factors contributing to the faster advance. Consumers' expenditure, stimulated by the implementation of new wage agreements, increased at the same rate as total output. Imports responded strongly to the rise in activity. Despite a further considerable advance in exports, the current balance of payments turned around rather abruptly from a surplus of £15 million in 1967 to a deficit of £20 million in 1968, equivalent to about 1.6 per cent of GNP. The deficit was almost wholly financed by an inflow of long-term foreign capital; total foreign exchange reserves, though falling by £8 million, remained at a high level.

Pressure on prices seems to have been moderate in the manufacturing sector, aided by an important improvement in labour productivity. But a rise in food prices, generated by a shortage of some food products in the United Kingdom, and higher prices for imports, due mainly to the devaluation in 1967, caused a rise in the GNP deflator of 4.75 per cent in 1968.

A stronger than envisaged rise of government expenditure and concern about balance of payments prospects for the coming year prompted the adoption of a supplementary budget in November. The higher taxes imposed are likely to have a deflationary effect during 1969. Nevertheless, aggregate demand would seem likely to remain relatively strong. The rise in exports may slow down, as Ireland's main export markets are expected to be less buoyant than in 1968. But fixed investment should see a further strong increase and the rise in consumers' expenditure may not be much lower than last year. The real gross national product (GNP) could rise by around 4.5 per cent.

I RECENT TRENDS

Demand

Following the recession of 1965 and 1966, the economy in 1967 reverted to the growth path which it had maintained during 1958-64, registering almost 4 per cent growth in real terms in 1967 and almost 5 per cent in 1968. Taking the two years together, these high rates of growth were associated with virtual equilibrium on the current balance of payments. This was mainly because growth in 1967 was led by exports, especially cattle, whilst other demand components grew only modestly. A fall in the volume of cattle sales produced a smaller total export volume rise in 1968. But expansionary official policy and a return of confidence stimulated a rapid recovery in domestic demand. Demand for imports thus rose sharply, but the current balance of payments deficit did not widen to an unacceptable degree.

Fixed investment rose by about 14 per cent in real terms—more than twice as fast as in 1967. A large part of this was accounted for by the strong rise in government capital expenditures allowed for in the budget. Moreover, private investment, particularly that associated with government grant aid programmes, began to gather considerable momentum after the weakness of the two previous years. The recovery seems to have been strong in machinery and equipment investment, which is concentrated in the private sector; machinery and equipment imports rose by 16 per cent in value between the first nine months of 1967 and 1968. There are also indications of a considerable rise in construction activity in the course of the year. The level of housing investment in particular, which was still sluggish in the early part of 1968, seems to have risen rapidly in the second half as work was started on the large number of projects approved in late 1967/early 1968. Stock-building rose, in contrast to the fall in 1967. This rise represented the replenishment of agricultural stocks, largely in the form of higher livestock numbers, which had fallen in 1967 because of the demands of the export market, together with some increase in industrial stocks. Public current consumption rose by about 12 per cent in value. This rise was mainly due to wage increases to government employees; the increase in volume was about 3 per cent.

Consumers' expenditure is estimated to have risen by about 10 per cent in value in 1968, and by about half that rate in real terms. Retail trade, in volume, rose by 5 per cent, and there was a large increase of over 20 per cent in new car registrations. Part of the increases were due to an upsurge in spending during the last weeks of 1968, after the supplementary budget, as consumers anticipated the indirect taxation increases which came into effect at the beginning of 1969. But the rise in real consumption was hardly greater

than the rise of real output—despite the expansionary effects of wage rises paid under the Eleventh Wage Round.

The growth of domestic demand was considerably higher than in 1967. If exports are included, the growth of aggregate demand still rose twice as fast as in 1967, whilst the growth of imports was almost 3.5 times faster. This abrupt but not unexpected change in the marginal propensity to import of the economy in 1968 is a direct reflection of the faster growth in 1968 of the more import intensive sectors, notably investment and consumers' expenditure.

Table 1 **Growth of GNP**
Per cent volume changes from previous year

	1964	1965	1966	1967	1968
Consumers' expenditure	4.6	1.4	1.5	1.5	4.9
Public current expenditure	3.8	3.4	0.4	5.8	3.3
Fixed capital formation	10.5	9.7	—4.2	6.1	13.9
Changes in stocks[1]	2.2	2.5	1.1	—0.9	0.7
Domestic demand	6.3	3.4	—1.1	0.9	8.1
Exports	8.0	0.1	8.4	12.3	9.3
Aggregate demand	6.7	2.6	1.2	3.9	8.4
Imports	12.9	4.2	0.8	4.4	14.9
Net factor income from abroad	4.1	26.8	—7.8	7.4	—6.9
GNP	3.9	2.6	1.1	3.8	4.8

1 Per cent of GNP.
Source : National Income and Expenditure; Irish submission to the OECD.

Output and Employment

The main domestic contribution to growth in 1968 was again made by industry, which registered an output increase of 9-10 per cent in volume. The rapid advance was assisted by the existence of some unused capacity at the beginning of the year. Although the rate of capacity utilisation rose in the course of the year, there was little sign of overheating. Agricultural production was also more buoyant in 1968 than in 1967, mainly because good weather affected the harvest favourably. There were however some supply constraints in the cattle sector; and export production in 1968, though still high, fell away somewhat in volume terms, though this was more than outweighed by price rises.

Labour market conditions were easy during most of 1968. Much of the growth of output was achieved, as in 1967, by fuller use of existing

manpower and other underemployed resources, and the official unemployment ratio, at 6.7 per cent, registered no change compared with 1967. The official ratio may, however, be deceptive; not only does it tend to overstate the true level, but changes in coverage between 1967 and 1968 may disguise some fall in unemployment between the two years. The high level of unemployment in the United Kingdom in 1967 probably discouraged some emigration. But there are indications that the effects on the Irish labour market may have been offset by a smaller fall in the numbers of agricultural workers than in 1967.

Table 2 **Employment by sector**

	Thousands: April					Per cent annual average		
	1958	1962	1966	1967	1968	1958-1962	1962-1968	1968
Industry	243	269	294	298	303	2.6	2.0	1.7
Manufacturing	168	185	198	201	204	2.5	1.6	1.5
Other	75	84	96	97	99	2.9	2.8	2.1
Other non-agricultural occupations	418	420	439	443	449	0.1	1.1	1.4
Agriculture	407	371	333	322	313	—2.2	—2.8	—2.8
Total	1 068	1 060	1 066	1 063	1 065	—0.2	0.1	0.2

Source: Irish submission to the OECD.

The still modest rise in industrial employment in the second successive year of exceptionally fast growth may call for comment in view of the priority given by the authorities to reducing emigration and unemployment. Between 1958, the year in which economic growth showed a marked upward change of trend, and 1962, industrial employment grew by 2.6 per cent annually. This, in conjunction with the rise in numbers working in other non-agricultural sectors, was sufficient to absorb a growing share of the workers leaving agriculture and cut the number of emigrant workers quite sharply. Since 1962, the industrial labour force has grown somewhat less quickly in total, mainly because of a slower rate of growth of employment in manufacturing industry.

These developments have been partly due to the slow-down of the rate of growth of industrial production from 8.25 per cent a year in the first period to 6.9 per cent in the second. Moreover, labour productivity, especially in manufacturing, has risen faster than earlier. The reason for this may be associated in part with the very success the authorities have had in encouraging modern factories to set up in Ireland, assisted by the develop-

ment aid schemes. Such projects accounted for about 70 per cent of new jobs created in industry in the period 1960-1966. Even so, they seem to have been a major factor in reducing the marginal demand for labour per unit of production. The labour requirement of grant-aided firms has been less than originally anticipated, and they have, in fact, created only about two-thirds of the number of jobs which it was thought that they would ultimately provide.

This is partly explicable in terms of the rapid technical developments which have taken place in industry, allowing large economies to be made in manpower. But it may also have been due in part to the relatively low standard of training, especially in basic industrial skills, which exists amongst some important groups of the labour force in Ireland. The Joint Industrial Survey of the Federation of Irish Industry and the Economic and Social Research Institute, conducted in September of last year, found that 12 per cent of firms surveyed gave the supply of unskilled labour as their main growth constraint, whilst 21 per cent gave shortages of skilled labour. These figures are surprisingly high given the levels of unemployment implied by the figures cited earlier.

The Survey findings, if they are representative, indicate the labour supply deficiencies to be filled by the manpower training schemes which have recently begun operating in Ireland. The shortages of unskilled labour persisting in a country where large numbers of farmers and farm workers are arriving on the labour market each year, may reflect amongst other things difficulty in integrating them into industrial occupations without training in basic industrial skills. The figures also imply a need for further development of the existing schemes for the training or retraining of skilled workers. Such improvements could be of great assistance in removing some of the qualitative limitations on the supply of labour, and help to set in train a faster increase in industrial employment than seems to be at present taking place. Experience in other countries suggests that the capacity of such schemes would need to be extended to about 1 per cent of the labour force per year if identifiable advantages are to be gained; at present, adult labour training in Ireland covers considerably fewer than this.

Wages, Prices and Costs

The pattern of wage development in the past has been determined by the biennial cycle of wage-rounds, involving usually a large increase in nominal incomes during the years of the wage round and a somewhat smaller increase in the succeeding year.

Annual figures disguise the abruptness of the movements between one period and another, since wage settlements usually affect only part of the

Table 3 **Earnings and Associated Indices in Manufacturing Industry 1960-1968**

Per cent annual change

	1960	1961	1962	1963	1964	1965	1966	1967	1968[1]
Average weekly earnings/ man	7.0	5.8	9.8	3.8	12.3	3.0	8.9	7.1	8
Output (volume)	8.6	8.7	6.3	5.3	7.5	4.6	3.3	8.3	10
Employment	4.3	4.6	3.9	2.7	2.2	0.5	1.1	0.9	1.5
Productivity	4.1	3.9	2.3	2.6	5.1	4.0	2.2	7.4	8.5
Real earnings/man[2]	6.6	3.1	5.3	1.3	5.2	—1.9	5.7	3.8	3.5
Earnings/unit of output	2.8	1.9	7.4	1.3	6.8	—0.9	6.5	—0.3	—0.5

1 1st 9 months.
2 Deflated by the consumer price index.
Source : Irish Statistical Bulletin.

year in which they are implemented. The rise in costs per unit of output can vary even more sharply, since—as happened in 1962 and 1966—large movements in earnings may be accompanied by a fall in the rate of growth of output.

Since the last old-style wage-round in 1966 the authorities have encouraged a somewhat different pattern of wage determination. Attempts have been made to spread out wage negotiations more evenly, and to introduce wage increases already granted in stages over the normal two year life of the agreement. In 1968, the year of the Eleventh Wage Round, average earnings probably rose slightly less than in 1966, when the bulk of the previous round of wage increases was paid. This was partly because some wage agreements were brought forward—the building trade agreement, for instance, began to be implemented at the end of 1967; and partly because of the staging of subsequent pay agreements in accordance with the new policy. The rise in productivity per man, partly reflecting the recovery element of the rise in output, probably held back the rise in wage costs per unit of output to about zero in 1968—compared with an average rise of about 3 per cent during 1960-67. The 1968 performance was, moreover, exceptionally good in comparison with other wage round years, and also compares well with the increase of about 2 per cent registered in the United Kingdom manufacturing industry.

Both consumer prices and the GNP deflator rose by 4.75 per cent in 1968. A major contributor to these increases was the rise in food prices; there was an 11 per cent increase in the agricultural price index, reflecting mainly a rise in the price of beef and cattle, which may not be sustained in the coming months as the recent serious shortages on the United Kingdom market are overcome. Devaluation caused higher prices for imported

goods; wholesale prices of industrial goods rose by some 5.0 per cent between October 1967 and the third quarter of 1968, which, however, was largely passed on to wholesale prices received by industry. With a considerable growth of industrial output and only a modest rise in wage costs there must have been an improvement in industrial profits in 1968, aided by devaluation gains on the part of companies exporting to non-devaluing countries. The increase in the internal price level was, therefore, to a great extent generated by external factors working through prices for imports and exports.

Table 4 **Price Movements**

	Per cent change over previous period					Per cent change:
	1964	1965	1966	1967	1968[1]	Oct. 1967-Sept. 1968
Import Prices :						
Consumption goods	2.3	1.9	2.9	1.7	3.4	4.2
Goods for further production	5.9	1.7	4.1	2.3	5.1	6.3
Capital goods	3.4	2.0	2.9	2.1	3.5	4.5
Total	5.2	1.7	3.8	2.2	4.7	5.8
Materials used in industry (incl. building)						
Home produced	4.4	2.9	4.9	5.1	3.5	0.5
Imported	6.0	1.6	4.1	2.4	5.2	6.3
Total	5.6	1.9	4.3	3.0	4.8	4.9
whereof : building	3.7	3.0	2.3	3.8	3.7	3.9
Output of industry (excl. building)						
Total	4.7	3.4	4.1	3.7	4.1	4.6
Agricultural output :						
Crops	5.6	11.4	2.6	—1.4	—1.6	1.3
Livestock	14.0	4.1	—5.1	1.7	18.0	20.7
Livestock products	6.3	0.7	3.7	4.6	3.7	—7.4
Total	10.7	4.1	—1.5	2.1	11.1	8.5
Consumer prices :						
Food	6.2	6.1	0.6	1.9	5.7[2]	5.1[3]
Total	6.7	5.0	3.0	3.1	4.7[2]	5.4[3]

1 Change between first nine months of 1967 and 1968.
2 Change between 1967 and 1968 (year on year change).
3 Change between fourth quarters of 1967 and 1968.
Source : Irish Statistical Bulletin.

Trade and the balance of payments

Merchandise Trade

Between 1967 and 1968 the trade deficit rose by about £50 million. The sterling value of exports rose by 16.5 per cent, but this was outweighed by a 25 per cent rise in the sterling value of imports. The direct effects of the devaluation on the current account seem, therefore, to have been small, though its effect on import and export prices has been noticeable. The price of imports rose sharply after devaluation—by about 12.25 per cent between October 1967 and September 1968. Export prices rose less fast, by nearly 9 per cent. Though the terms of trade scarcely changed up to the end of June, compared with the last pre-devaluation month, there was a deterioration thereafter, the terms of trade index falling by 2 per cent between June and September.

Table 5 **Merchandise Trade**

	1964	1965	1966	1967	1968
A VALUE *(million):*					
Exports	222.0	220.8	244.3	285.1	332.1
Imports	349.3	371.8	372.6	392.3	488.9
Trade deficit	127.3	151.0	128.2	107.2	156.8
B SHARE OF UNITED KINGDOM IN IRISH TRADE *(Per cent):*					
Exports	71.4	69.6	69.3	72.0	70.4[1]
Imports	50.9	50.6	51.8	50.2	49.8[1]
C PRICES *(Sterling unit values, per cent change over previous years):*					
Exports	5.5	1.2	1.8	0.0	7.4[1]
Imports	0.9	2.3	0.0	—0.6	8.5[1]
Terms of trade index[2]	99.5	98.2	100.0	100.6	99.0[1]

1 First nine months only.
2 1953 = 100.
Source : CSO: Review of External Trade.

The rise in export prices has been to a large extent due to the higher cattle and meat prices obtained on the United Kingdom markets, though the rise began to flatten out after June. Over 40 per cent of Ireland's export trade with the United Kingdom in the nine months to September 1968 consisted of cattle and meat, and the prices paid were on average over the period

as much as 10-20 per cent higher than in 1967, accounting for some 2.5-3.0 percentage points of the rise in the export price index since then. If it is assumed that the price rise of other goods exported to the United Kingdom has been fairly moderate, this would imply that prices for goods exported to markets other than the United Kingdom have risen modestly in terms of sterling values—by about 7 per cent, equivalent to a reduction in foreign currency prices of about 8.5 per cent.

These movements should have given Irish products a considerable competitive edge in the non-devaluing countries. However, with an unchanged parity between the Irish pound and the pound sterling, the devaluation also encouraged British importers to buy more in the Irish market. No big changes in the geographical distribution of Irish exports appear to have in fact taken place so far. In the first three quarters of 1967, 27.5 per cent of Irish exports were shipped to countries other than the United Kingdom; in the same period of 1968, the proportion had risen to only 28.8 per cent (sterling values). Given the higher prices at which these goods are valued (in sterling terms) little real change can be inferred. Even if food and livestock, which are to a large extent tied to the United Kingdom market, are excluded, the proportion of goods exported elsewhere than to the United Kingdom moved only from 38.4 per cent to 40.5 per cent between the first three quarters of 1967 and 1968.

Nor does the devaluation appear to have had any more marked effect on the geographical distribution of imports. In the first nine months of 1968, imports from the United Kingdom accounted for 49.8 per cent of total imports; despite the price advantage of United Kingdom goods in the Irish market compared with the products of non-devaluing countries, the proportion of imports from the United Kingdom actually fell slightly compared with the same period of 1967.

Commodity Composition of Trade

The growth of food shipments in the first nine months of 1968—led by cattle and dairy products—accounted for over a quarter of the total increase in exports. Continued advance was made in industrial sectors, notably metals and metal manufactures, and machinery and transport equipment. The rise in manufactured goods exports in total rose to over 30 per cent above the level of the first three quarters of 1967. The share of industrial goods as a whole in total exports in the first nine months of the year was 46 per cent, as against about 41 per cent in the two preceding years.

The commodity composition of imports reflected the growth of all sectors of demand. Capital goods imports grew by 16 per cent in value in the January-September period, whilst goods for further processing, including

such items as metals and metal manufactures, increased by about a quarter. Raw materials and fuels grew by about the same amount. Consumer items were also buoyant; household machines, textiles and clothing imports taken together rose by nearly 30 per cent in value, and consumption goods imports as a whole by 25 per cent.

Table 6 **Commodity Composition of Trade**
Per cent of total value

	1963	1964	1965	1966	1967	1968[1]
Exports :						
Agriculture, forestry and fishing produce	59.6	57.0	54.5	53.0	53.2	49.1
Industrial goods	32.4	35.6	37.9	40.6	41.6	45.8
Other	8.0	7.4	7.6	6.4	5.1	5.1
Total	100.0	100.0	100.0	100.0	100.0	100.0
Imports :						
Capital Goods	15.4	14.9	16.2	15.5	15.0	14.7
Consumption goods	21.2	20.4	21.5	22.6	22.4	22.3
Food, drink, tobacco	6.5	5.7	6.2	6.3	6.4	6.1
Other	14.7	14.7	15.3	16.2	16.0	16.2
Materials for further processing	58.9	60.7	59.1	58.8	59.7	60.5
Other	4.5	4.0	3.2	3.1	2.8	2.5
Total	100.0	100.0	100.0	100.0	100.0	100.0

1 First nine months only.
Source : CSO: Review of External Trade.

Invisibles

According to published estimates of the balance of payments, there was a sharp rise in net invisible earnings during the first nine months of the year. Much of this reflected tourist earnings, which were helped by the United Kingdom restrictions on tourist expenditures in the non-sterling area countries and by the relative advantage conferred by devaluation. It now appears that the total improvement on invisible account for the year will reach about £15 million.

Capital Movements and Changes in the Reserves

In the first six months of 1968, the widening of the current account deficit was accompanied by a substantial fall in the net capital inflow from abroad. There was thus a fall in the reserves amounting to £26.5 million during this period. During the third quarter, the reserves rose by £22.6 mil-

lion. A fall in the fourth quarter left the reserves some £8 million below the end-1967 level.

According to the Central Bank, the net capital inflow during the first half fell to almost zero, or by £24 million compared with the same period of 1967. This is partly attributable to the restrictions on external investment imposed in the United States and the United Kingdom, but it also seems to have been, to some extent, a result of the tightness of monetary conditions in the United Kingdom. During the second half-year, an improvement in the trade balance and further gains on invisibles were accompanied by a rise of nearly £20 million in the reserves, implying a strong recovery also in the capital inflow. It is now estimated that the total net inflow in 1968 as a whole, as conventionally measured in Ireland—that is to say, the difference between the change in the reserves of the Central Bank and the Associated Banks combined and the deficit on current external account—amounted to some £12 million.

There is, however, reason to think that the true capital inflow during 1968 may have been higher than the net figure of £12 million cited above. External transactions of the non-Associated Banks (Table 7), representing flows of mainly short-term finance, became much more important in 1968. But the resulting increase in these banks' foreign assets (or fall in their foreign liabilities) is not included in the officially used definition of external reserves. Hence, about 50 per cent of the first half 1968 decline in the net capital inflow referred to above seems to have been offset by a fall of £12.5 million in the non-associated banks' net liabilities abroad. Similar movements in the second half-year may have affected the total for the whole year. A further point which bears upon calculation of the size of the capital inflow is that the officially defined reserves in December 1968

Table 7 **The external assets and liabilities of non-Associated Banks and HP Companies (Net)**
£ million, end period

	1967				1968			
	March	June	Sept.	Dec.	March	June	Sept.	Dec.
Merchant and Commer-cial banks	—5.3	—4.1	0.5	—2.2	—0.2	10.0	12.1	9.8
Industrial banks	—10.8	—9.1	—7.3	—10.0	—9.8	—9.7	—10.6	—11.0
HP companies	—0.3	—0.3	—0.1	—1.5	—1.5	—1.4	—1.6	—1.7
Total	—16.4	—13.5	—6.9	—13.7	—11.5	—1.1	—0.1	—2.9

NOTE + = net external asset.
— = net external liability.
Source: Central Bank Quarterly Bulletin.

may have been affected by a downward valuation of assets held abroad. Complete information on the non-associated banks' end-year balance sheets and on the extent of the revaluation of reserve assets is not available at the time of writing, but estimates based on the above considerations suggest that the true capital inflow may well have been over £20 million, compared with the figure of £12 million cited above and in Table 8.

It is not possible to trace with certainty at this stage all the other reasons for the fluctuations of the capital inflow. But it is likely that, during the first half of the year, the effects of the credit squeeze in the United Kingdom on the assets and liabilities of Irish non-associated banks described above was supplemented by a reluctance on the part of foreign investors to channel new money into sterling during the financial crisis in the spring of 1968. This could have had some effects also on Ireland. During the third quarter some of this appears to have been made good. But some similar effects may have been felt during the international monetary crisis late in 1968, which could further help to explain the movement in reserves during the final quarter.

Table 8 **Balance of Payments**

	1964	1965	1966	1967	1968
Balance on visible trade	—127.6	—151.2	—128.7	—106.6	—157
Tourism (net)	32.9	39.5	33.5	40.2	
Transport (net)	8.6	9.2	12.6	12.8	
Investment incomes	12.8	19.8	16.8	16.6	
Other	41.9	40.9	49.7	52.2	
Total invisibles	96.2	109.4	112.6	121.8	(137)
Current balance	—31.4	—41.8	—16.1	15.2	(—20)
Capital movements:[1]					
Government			+22.5	—2.7	—
of which : IMF			+4.1	—5.6	—
Other			+16.0	+33.8	+11.7
Total			+38.5	+31.1	+11.7
Change in reserves[2]	n.a	n.a	—22.4	—46.3	+8.3

1 + = inflow.
2 — = increase, + = decrease.
Source : Irish Statistical Bulletin.

There have been marked changes in the composition of Irish reserve assets. Following the devaluation, there was a switch of reserves to a value of some £24 million into gold. The December-June period also saw the

establishment of a supergold tranche position with the IMF of over £10 million, representing an increase of £14 million in assets held in this form, as a result of the borrowing of Irish pounds by other Fund members. From middle of the year, there was some reconstitution of official sterling assets, but the proportion of total sterling assets at the end of the year had fallen to about three quarters of total reserves compared with 94 per cent at the end of the last pre-devaluation quarter. At the end of November £40 million of the associated Banks' external sterling assets were transferred to the Central Bank for inclusion in the official reserves, the associated banks receiving in return £40 million in Irish currency, hence increasing the minimum sterling proportion of the official reserves from 55 to 65 per cent. These extra assets will now, as official reserve assets, be protected by the exchange rate safeguards of the Basle agreement.

II POLICY MEASURES

The April Budget

Demand management policy up to November 1968 was not merely permissive. In addition to an easy credit policy, and expansionary monetary operations on official account, budgetary policy exerted a powerful reflationary influence on demand from the beginning of the financial year.

The out-turn on the 1967-68 budget showed virtually a balance on current operations, both expenditures and revenues having risen by about 12 per cent. The 1968/69 budget made provision for a rise of £31 million (10.3 per cent) in current expenditures, of which all but £8.6 million was expected to be provided for by the automatic effects of tax and other current revenues. Of this gap, £4.6 million was to be covered by higher indirect taxation and the rest was expected to be accounted for under the heading of errors in estimation. The rise in capital appropriations under the Public Capital Programme was very large, amounting to some £16 million on the part of the Exchequer, or nearly 1.3 per cent of GNP, plus a further £9 from other sources including local authorities. Within the total increment some £4 million was set aside for aid to the private sector of industry—including a rise of £1 million in grant aid, which had already risen by £1.5 million more than originally budgeted for in 1967/68.

The November Budget

In November, a supplementary budget was presented to the Dáil which incorporated revised estimates of revenue and expenditure for the current

Table 9 **Budget 1964/5-1968-69**

£ million

	Actual				Estimates	
	1964/65	1965/66	1966/67	1967/68	April 1968/69	Nov. 1968/69
A CURRENT BUDGET:						
Receipts:						
Tax revenue:						
direct	60.6	68.7	77.9	88.1	100.3	n.a
indirect	116.0	125.2	143.7	159.9	165.7	n.a
motor vehicle duties	8.8	9.4	10.4	11.6	12.2	n.a
Total	185.4	203.3	232.0	259.6	278.2	n.a
Other	33.6	37.0	40.8	45.8	50.3	n.a
Errors of estimation for 1968/69 (April)	—	—	—	—	4.0	—
Tax increases proposed for 1968/69 (April)	—	—	—	—	4.2	—
Total	219.0	240.3	272.8	305.4	336.7	344.3[1]
Expenditures:						
Service of public debt	42.8	49.0	56.5	63.7	75.0	n.a
Social services	75.2	84.2	93.1	102.2	109.9	n.a
Economic services:						
Industry	3.7	4.7	4.8	6.4	7.6	n.a
Agriculture	30.0	35.8	40.8	53.6	54.5	n.a
Other	14.2	14.7	14.3	15.3	16.3	n.a
General Services	41.1	43.0	44.1	45.2	48.5	n.a
Expenditure adjustment for 1968/69 (April)	—	—	—	—	4.6	—
Total (incl. unspecified)	222.0	248.0	270.7	305.6	336.7	351.4[2]
Deficit (—) or Surplus (+)	—3.0	—7.7	+2.1	—0.2	—	—7.1
B CAPITAL BUDGET:						
Sources of finance:						
Local authorities and state bodies	n.a	29.5	33.0	35.4	46.2	n.a
Exchequer	n.a	95.6	79.5	83.9	95.0	n.a
Total	n.a	125.1	112.5	119.3	141.2	n.a
Expenditures:						
Public capital programme	n.a	101.2	99.0	111.4	136.4	n.a
Other	n.a	23.9[3]	13.5	7.9	4.8[4]	n.a
Total	n.a	125.1	112.5	119.3	141.2	n.a

1 Of which increase in taxes + £4.2 million; higher-than-expected revenue + £7.5 million.
2 Higher agricultural subsidies and government employees' pay increases, £15 million; other expenditure increases took up all but £0.3 million of allowance for errors of estimation.
3 Including financing of current budgetary deficit.
4 Excluding financing of £7 million current deficit now expected for 1968/69.

Source: Budget documents 1965-1968.

financial year. It was announced that if no modification were made, actual current expenditures would outrun receipts by nearly £12 million, despite an increase in tax and other receipts amounting to £7.25 million more than planned due to the higher than expected growth of the economy. Higher indirect taxes were levied, some of which became effective immediately and others at the beginning of 1969. The yield in the current financial year was estimated at £4 million. Nevertheless, a deficit of over £7 million was budgeted for. Most of the unforeseen higher expenditures of nearly £19 million were accounted for by higher pay to government employees (£9 million) and increases in farm support (£6 million). As a result, total current expenditure in fiscal 1968/69 was expected to rise by 15.0 per cent (£46 million), as compared with the 10.3 per cent increase expected in April.

Bank Credit and Interest Rate Policy

It was announced in the spring by the Governor of the Central Bank that bank credit might rise between April 1968 and April 1969 by nearly 14 per cent, or £64 million—about the same as in the previous twelve months. In the budget, the government set its borrowing requirement from the banks and abroad (in fact no borrowing has been arranged abroad by the authorities) at £33 million, about half of the total credit expansion planned for the year. These arrangements were intended to cover the financing of the large increases in the public capital programme, whilst leaving an adequate supply of credit at the disposal of the private sector. Interest rate policy was somewhat inhibited by the high level of interest rates abroad; however, by mid-November the Rediscount Rate of the Central Bank was about 1 percentage point below the emergency rate of 8 per cent imposed at the time of the devaluation, and deposit account rates followed suit, though with some lag.

In September, the Governor of the Central Bank circulated a letter calling on the Associated Banks to exercise caution in the granting of credit, and urging priority for export and investment finance. This suggested that a more circumspect attitude began to make itself felt with regard credit and monetary policy, although no changes in the credit ceiling were announced. In December, the Governor of the Central Bank circulated another letter calling for restraint in the granting of credit. The banks were requested to keept in mind the credit ceiling as a limit "which should not greatly be exceeded", but it was acknowledged that the ceiling could not now be considered as an absolute limit, given the unforeseen size of the government's borrowing requirement in both the government and the private sectors.

Table 10 **Money Supply**
£ million, end of period

	1966				1967				1968			
	I	II	III	IV	I	II	III	IV	I	II	III	IV
Domestic credit[1]	384.4	n.a.	n.a.	428.3	424.9	438.3	453.1	463.9	493.1	509.8	540.5	560.7
Plus												
Other net domestic assets	—18.1	n.a.	n.a.	—18.4	—20.2	—22.0	—21.8	—19.4	—28.7	—28.8	—28.8	—21.5
Equals												
Total domestic assets	366.3	n.a.	n.a.	409.9	404.7	416.3	431.3	444.5	464.4	481.0	511.7	539.2
Less												
Deposits	307.4	n.a.	n.a.	326.5	336.5	349.5	367.5	385.1	389.9	400.7	423.3	448.2
Equals												
Net credit	58.9	n.a.	n.a.	83.4	68.2	66.8	63.8	59.4	74.5	80.3	88.4	91.0
Plus												
External reserves	241.4	n.a.	n.a.	253.1	266.6	266.2	292.2	299.4	291.2	272.9	295.5	291.1
Equals												
Money supply	300.3	n.a.	n.a.	336.5	334.8	333.0	356.0	358.8	365.7	353.2	383.9	382.1

1 Equals last line of Table 11 *plus* Central Bank holdings of £20.5 million of funding loan 1969 taken up in October 1965; this item appears to have risen slightly in December 1967 and fallen in January 1968 and again in September 1968.

NOTE: 1966 II and III not available due to bank strike

Source: Central Bank Quarterly Bulletin.

The Money Supply, Credit and Government Transactions

Credit conditions were thus highly permissive throughout 1968, but due to some offsetting factors the money supply rose by only £23 million (6.5 per cent). During the first six months domestic credit rose by £46 million (Table 10). The rise in private bank deposits exceeded the fall in government deposits, but, mainly as a result of a £14 million transfer to the IMF in connection with the establishment of a super-gold tranche with that body, "other" (net) domestic assets fell by £9 million. The growth in the current external deficit—seasonally high in the first half since the bulk of invisible receipts do not accrue until the second—and the decline in the net capital inflow also had a restrictive effect, and the money supply in June fell to £5.5 million below its end-December level.

The rise in the money supply in the second half year reflected the further growth of credit together with a strong recovery in the capital inflow, an improvement on the current external account, and, hence, in the reserves. Although private bank deposits continued to rise strongly (by £39.8 million between June and December) the net effect of the changes in these items was to expand the money supply by £28.9 million in the six months up to end-December.

Domestic credit (Table 11) grew over the year by more than £100 million, compared with £33 million in 1967. Of the 1968 total, only about one-third was taken up by the Government and the rest by the private sector. The Government's total borrowing requirement has nonetheless been heavy—over £100 million, compared with £65 million in 1967. But in the first half of 1968, the Government raised £20 million in the form of ways and means advances from departmental funds, of which some £17 million remained outstanding at the end of the year. These transactions hence accounted for about half of the increase in the total borrowing requirement, the bulk of the remainder having been raised from the banking system. But despite the relatively moderate claims of the Government on the banks during most of the year, the credit ceiling of £64 million for the year ending in April 1969 had already been exceeded by the end of the third quarter of 1968. By December, the total increase was £23 million in excess of the ceiling, following an exceptionally large increase of £23 million in credit to the private sector during the final quarter. The end-year balance sheets of the banks would thus imply a somewhat tighter credit situation during the coming months. The amount to be raised by the Government in the first quarter of 1969, as provided in the April budget, is slightly lower than in the same quarter of 1968—about £12 million. But to this should be added the £7 million of extra borrowing required to cover the current budgetary deficit now expected. Provision may also have to be made for the repayment of the remainder of the ways and means

Table 11 **Credit by the Associated Banks within the State**

£ million end of period

	1965				1966				1967				1968			
	I	II	III	IV	I	II	III[1]	IV	I	II	III	IV	I	II	III	IV
Bills :																
Government	7.3	30.1	26.8	35.7	36.4	n.a.	43.7	39.2	34.9	34.2	54.5	51.2	58.3	59.4	44.3	49.4
Other	7.9	8.3	7.7	6.5	6.3	n.a.	6.2	6.4	6.6	7.3	6.9	6.6	7.3	7.9	8.3	6.7
Total	15.2	38.4	34.5	42.2	42.7	n.a.	49.9	45.6	41.5	41.5	61.4	57.8	65.6	67.3	52.6	56.1
Plus bills rediscounted with the Central Bank	8.5	10.4	13.7	3.0	2.0	n.a.	1.3	1.3	—	—	—	—	—	—	—	—
Total	23.7	48.8	48.2	45.2	44.7	n.a.	51.2	46.9	41.5	41.5	61.4	57.8	65.6	67.3	52.6	56.1
Investments :																
Government	23.9	23.8	23.7	23.4	23.2	n.a.	44.5	42.3	40.8	40.8	39.9	40.0	41.6	41.0	82.3	80.3
Other	9.9	9.9	9.6	9.2	9.1	n.a.	8.6	8.1	8.3	8.3	8.3	8.3	8.4	7.9	7.7	7.6
Total	33.8	33.7	33.3	32.6	32.3	n.a.	53.1	50.4	49.1	49.1	48.2	48.3	50.0	48.9	90.0	87.9
Loans and Advances :																
Total	282.9	290.3	282.2	277.6	276.9	n.a.	293.2	292.0	290.9	303.0	295.0	309.0	321.9	336.6	342.9	366.5
Adjustment for Cheques :																
Total	11.0	14.5	10.3	15.9	9.9	n.a.	11.2	18.5	22.9	24.3	28.2	25.4	35.1	36.5	37.4	32.5
Total domestic Credit	351.4	387.3	374.0	371.3	363.8	n.a.	408.7	407.8	404.4	417.9	432.8	440.5	472.6	489.3	522.9	543.0

1 October.

NOTE: 1966 II and III (June and September) not available due to bank strike

Source : Central Bank Quarterly Bulletin.

advances still outstanding at the end of 1968. Hence, claims by the Government on the banks during the current quarter are likely to be more onerous than during most of 1968. The credit ceiling is certain to be exceeded by a large margin.

III DEMAND MANAGEMENT POLICY, 1964-68

After a period of rapid and relatively steady growth, the last five years have seen greater variation in the year-to-year rate of advance, with the annual increase in GNP ranging between 1.5 and nearly 5 per cent. Table 13 is an attempt to analyse the movements of the main types of national expenditure, distinguishing between two groups of demand components. The first comprises exports of goods and services, business fixed investment and changes in industrial stocks, the types of demand most sensitive to cyclical influences, and over which the authorities have little direct control. This group is referred to as autonomous demand components. The second group includes current expenditure on goods and services by public authorities and the government capital programme, i.e. the policy-determined demand factors. The public capital programme consists partly of fixed investment undertaken by the public authorities and partly of grants and loans to the private sector. Public aid for industrial development is typically associated with private fixed investment of about three times the amount of aid disbursed. For the purpose of the present analysis the part of private fixed investment which is associated with public aid has been deducted from the autonomous demand components and added to the policy-determined demand components.

It has been assumed that private consumption and imports develop in a relatively stable manner in relation to non-consumption expenditure. On this assumption, private consumption and, thereby, GNP, are determined by the two groups of demand components referred to above, i.e. changes in these types of demand multiplied by appropriate multipliers give the change in GNP. In practice, there may be some difference between GNP estimated in this way and actual GNP, mainly because the relationships underlying the estimates of the multipliers may not be stable over time[1]. The relationship between GNP and personal disposable income, for instance, is influenced

1 The multipliers used are: 1) Investment in housing, 1.3; in other construction, 1.2; in machinery and equipment, 0.4; 2) Public current expenditure, 1.5; 3) Exports, 1.2; 4) Industrial stocks, 1.0; agricultural stocks, 0.0; 5) Net factor income from abroad, 1.5.

Table 12 **Government Borrowing : By Type of Asset**

£ million

	1965/66				1966/67				1967/68				1968/69			
	I	II	III	IV	I	II	III	IV	I	II	III	IV	I	II	III	IV
Ways and Means Advances	5.4	1.2	—1.1	—12.0	—3.3	5.1	4.3	—5.5	—1.4	4.0	5.9	14.1	—1.9	—0.9		
Bank Advances	—	—	—	—	22.0	—22.0	—	—	—	—	—	—	—	—		
Exchequer Bills	11.3	—2.0	—	1.0	1.0	—4.2	—6.1	—	20.0	—	5.0	—	—15.0	5.0		
Stock Issues (incl. National Bonds)	1.2	20.0	26.1	0.7	0.2	44.0	2.7	9.5	0.0	24.4	0.1	2.4	40.0	25.1		
Small Savings[1]	1.8	0.5	1.3	0.3	4.9	1.7	0.2	1.6	0.9	1.5	0.0	1.3	0.0	0.9		
Foreign Borrowing	—	—	—	14.9	7.4	2.3	0.1	—	0.0	—	0.0	—	0.0	—		
Other (incl. balance in exchequer)[2]	0.7	1.3	—1.6	8.0	—1.0	—1.5	7.2	2.7	0.5	—1.6	5.1	12.7	—0.6	1.3		
Total (incl. balance in exchequer)	20.4	21.0	24.7	13.0	31.2	25.4	8.3	8.3	19.9	28.3	16.1	30.5	22.5	31.4	(19.2)[3]	

1 Savings Certificates and Prize Bonds.
2 Includes Tax Reserve Certificates, Telephone Capital Accounts, etc.
3 Estimate based on budget provision for 1968/69 plus extra borrowing to cover the current budgetary deficit.

Source : Central Bank.

by changes in direct taxes, and these may not have been fully reflected in the estimates of the multipliers. A further weakness of the analysis is that the multipliers applied have been estimated on the basis of series in current prices, disregarding the fact that the multiplier for the price component of a change in non-consumption expenditure is usually smaller than the multiplier for the volume component. For these and other reasons the analysis in Table 13 does not pretend to do more than illustrate the rough orders of magnitude of the impact on GNP of the demand components listed.

The table highlights two important structural features of the Irish economy. It can be seen that over the last five years as a whole, if multiplier effects are included, exports of goods and services accounted for around half the growth of GNP and public expenditure for more than one-third, the latter about equally divided between current and capital expenditure. Autonomous private fixed investment and stockbuilding accounted for only a small part of the expansion.

Table 13 **Contribution to Growth of Main Demand Components 1964-68**
£ million, current prices

	1964	1965	1966	1967	1968[1]	Total 1964/1968
Autonomous Demand Components:						
Private fixed investment	15	11	—5	11	13	45
Industrial stocks	2	—6	1	—3	9	3
Total	17	5	—4	8	22	48
Exports	43	12	38	52	70	215
Net factor incomes from abroad	2	13	—3	3	3	18
TOTAL AUTONOMOUS	62	30	31	63	95	281
Policy-Determined Demand Components:						
Public current expenditure	29	16	9	16	27	97
Public capital programme	13	11	3	12	22	61
TOTAL POLICY DETERMINED	42	27	12	28	49	158
Residual	7	10	7	—12	—33	—21
Actual change in GNP	111	67	50	79	111	418
Memorandum figures:						
Change in GNP:						
per cent, current prices	13.3	7.1	5.0	7.4	9.7	
per cent, constant prices	3.9	2.6	1.1	3.8	4.8	

1 The calculations for 1968 are subject to a much wider margin of error than previous years, since they are based on preliminary national accounts data and, in the case of the public capital programme, on budgetary estimates only.

Source: Budget documents 1964-1968; National Income and Expenditure; Secretariat estimates.

The table also shows that exports and public expenditure were responsible for much of the year-to-year variation of the GNP advance. The slower rise in exports of goods and services in 1965 and 1966 was a major factor behind the modest increase in GNP in these two years. And the recovery of exports was the main dynamic element behind the assumption of faster growth of activity in 1967 and 1968. It is interesting to note that, in common with other countries who have pursued active demand management policies, variations in public expenditure programmes have often failed to operate counter-cyclically—sometimes the reverse. In the case of Ireland, this is in part due to the importance of exports in the composition of total demand. Low export demand has sometimes necessitated, as in 1965, deflationary public expenditure policies for balance of payments reasons at times when the weakening of exports was itself exerting a restrictive influence. In 1966, exports were still not very buoyant in the first half of the year, and the effects of this were reinforced by falls in non-export demand following the further cutbacks in public expenditure programmes announced in the budget. As the pressure on resources eased, and the current external balance improved, policies were relaxed. Public expenditure was greatly expanded in 1968 at a time when exports and private fixed investment were beginning to rise relatively fast, though this did not result in overstrain because of the low rate of capacity utilisation carried over from 1967.

Thus the restrictive measures taken in 1965 and 1966, including the sharp cutback in public spending plans, were successful in easing the pressure on resources and improving the current external balance, objectives which were given high priority by the authorities at the time. But the measures had a temporary impact on fixed investment. Given the key role of a high level of investment in the promotion of growth and higher employment, it may be desirable to make less use of the public capital programme as an instrument of short-term demand management policy. Indeed, more active use could be made of the current account of the budget; as the scope for short-term changes in current expenditure may be limited, this would essentially mean a more flexible use of taxation policy. Taxation has risen from 24 per cent of GDP in 1964 to probably around 29 per cent in 1968. But its level is still low compared with other countries. There still seems room, therefore, for the continued extension of taxation policy, including the development of new and more broadly based tax instruments. An increase in taxation aimed at restricting the growth of private consumption could have adverse repercussions on private investment. But given the importance of the public capital programme for the level of investment in both the public and the private sectors, a more stable trend of fixed capital formation might be achieved if the programme were geared primarily to the longer-term needs of the economy and less used for short-term demand management purposes.

IV PROSPECTS AND POLICY CONCLUSIONS

Prospects

Prospects point to a further strong advance in activity, but with the pattern of the expansion changing somewhat. Exports may rise more slowly than in 1968, given notably the likelihood of a relatively flat trend in private consumption and imports in Britain, which takes over 70 per cent of Irish merchandise exports. Moreover, the temporary shortage on the British market of meat and cattle, due to the foot-and-mouth disease, will not boost Irish food exports as in 1968, and prices may be lower. There may be keener competition from Argentine deliveries. Measures are envisaged to stimulate a broader geographical distribution of Irish export products, making them less dependent on the United Kingdom market, but producers will probably need time to respond to government measures and to develop export programmes on a more durable basis. The slowdown of the rise in exports would be moderated to the extent that Irish exporters were able to take a greater share of foreign markets. The devaluation of the Irish pound together with sterling in November 1967 and the favourable trends of costs and prices in Irish manufacturing industry in 1968 should contribute to such a development. Ireland's share of foreign markets is still very small and this may also be a favourable factor. Moreover, although much of the slack in the economy has been taken up, there is still a margin of unused capacity in certain branches. Special credit facilities granted by Irish banks for the financing of exports to the United Kingdom should moderate the effect of the British import deposit scheme. Nevertheless, a realistic assessment of prospects in the United Kingdom and other markets points to a smaller rise of exports than in 1968.

Domestic demand, however, should remain buoyant. The present strong competitive position of Irish industry, with a favourable trend in profits, and higher rates of capacity utilisation point to a further sharp increase in industrial investment. The budget for 1968/69 provides for an increase in industrial aid appropriations. The financing of fixed investment will probably be facilitated by a further inflow of long-term capital from abroad. Although some tightening in the internal credit market seems likely in view of the Government's borrowing needs, the financing of fixed investment is likely to continue to take priority. Fixed investment may therefore show a rise of about the same order as in 1968, bringing the ratio of gross fixed investment to domestic production up to a record level of 22 per cent or so.

Private consumption should also show a good increase. Existing wage agreements provide for wage increases in 1969 also, and some wage drift would seem likely, given the relatively high level of activity. Wage earnings

may therefore rise at least as fast as last year. But the increase in taxation decided last November will serve to moderate the rise in personal disposable income and private consumption.

Government expenditure on goods and services is likely to continue to grow in 1969. In value terms, the advance may be smaller than last year when it was inflated by a 9 per cent pay increase to public sector employees, but in volume terms the increase may not be very different from 1968.

On these assumptions, and allowing for some increase in stockbuilding, the rise in aggregate demand (home demand plus exports) may slow down somewhat. The increase in imports should therefore be more moderate also. Real GNP could increase by about 4.5 per cent, a little faster than the rate at which capacity is estimated to be growing (4-4.5 per cent) with the pressure on resources probably increasing slightly. The current external deficit will be higher than in 1968, reflecting notably the probable slowdown of the rise in exports; net invisible receipts should continue to grow. As in previous years, the current deficit may be covered to a large extent by a capital inflow, part of which is related to the financing of foreign direct investment in Ireland.

Policy Conclusions

1967 and 1968 saw the resumption of faster growth led by exports and fixed investment, and the advance to a higher rate of resource utilisation went hand in hand with a relatively favourable price/cost performance in industry. The current balance of payments deteriorated, but not to an extent which should give rise to concern. The Irish economy is thus well positioned to move in a direction assuring a sustained rise in living standards. The greatest risk would seem to be that domestic demand will move too rapidly to be maintained. Rising living standards on a sustainable basis assume a shift in resources, both physical and human, from less productive to more productive sectors of the economy, which is a longer-term and continuing process.

To exploit the present potential favourably will require carefully executed policies by the Irish authorities. If increases in public and private consumption can be kept moderate, there will be resources available to permit and foster the present trend toward a high level of productive investment, an essential element in realising higher living standards. This development would be facilitated if the rise in wages was kept within reasonable limits in relation to the increase in productivity, if disruptive strikes are reduced to the minimum and if an undue rise in prices is avoided.

There was probably some margin of slack in the economy at the beginning of this year, and a 4.5 per cent GNP rise would therefore seem unlikely

to lead to excessive pressure on resources in an overall sense. But it is possible that a point could be reached where bottlenecks could arise in individual sectors. It is therefore important that further strong efforts should be made to facilitate the mobility of labour, particularly by expanding training and re-training programmes. Moreover, although progress has been made in spreading the rise in wages more evenly over time there is a question whether the 8 to 9 per cent annual rate of increases in earnings experienced over the last three years, and which seems likely to be repeated in 1969, is sustainable. In the last two years, despite increases in wages, there was no rise in unit labour costs because productivity increased fast. But the productivity advance in these two years—importantly aided by the rise in capacity utilisation rates—was clearly well above the longer-term trend rate of growth. To avoid the re-appearance of strong pressures on prices, and on the balance of payments, it would therefore seem desirable to moderate the rise in wages. If this could be achieved by stronger efforts in the field of income policy rather than by reducing the level of demand, cost/price pressures would represent less of a constraint on the expansion of activity. These considerations may be particularly important in the present year, when the maintenance of Ireland's competitive position in world markets will be an important factor in counteracting less buoyant export prospects.

The rapid deterioration of the current account of the balance of payments as the economy advanced to higher rates of resource utilisation in 1964 and 1965, was an important factor behind the policy measures taken to slow down the expansion. Although it is difficult to forecast the current account deficit for 1969, it might possibly rise to 3 to 4 per cent of GNP, a level which was considered too high in 1965-66. In assessing the appropriateness or otherwise of a deficit of this order, it has to be taken into account that, assuming wage rises are kept within reasonable limits, it would not be caused by a substantial rise in imports associated with excessive demand pressures at home. A main element in the balance of payments forecast is the slowdown in the rise of exports likely to result from a temporary weakening of foreign demand, notably in the United Kingdom. In these circumstances it would seem reasonable to incur a somewhat larger deficit on the current foreign balance, particularly since its financing should not create a major problem. With the rise in private fixed investment now expected, there is likely to be an important inflow of foreign direct investment, and in any event, a healthy growth in investment, even at the cost of a further rise in imports, would seem to be a desirable policy objective for 1969. Moreover, Irish foreign exchange reserves are high, and the situation in 1969 may well be such that it would be appropriate to take advantage of the strong reserve position. If, however, there are signs that the deficit is likely to be substantially larger than in 1968 as a result of excessive demand pressures, appropriate action may need to be taken.

The ratio of fixed investment to GNP has risen over the last two years. This would seem a very desirable development, and it may well be that a continuation of this trend is a necessary condition for the attainment of fuller employment of the labour force. But if the current external deficit is to be kept within reasonable limits, the allocation of a higher proportion of available resources to investment necessarily means that the rise in consumption will have to be restricted. To this end, further efforts to encourage private savings would be desirable, and it may be necessary to increase public savings either by restricting the growth of current expenditure or by increasing the current receipts. Public savings are relatively low in Ireland, and an increase in the public savings ratio may well be a condition for maintaining strong growth and achieving full employment.

STATISTICAL ANNEX

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Table A **Expenditure on Gross National Products**

	1960	1961	1962	1963	1964	1965	1966	1967	1968 (est.)
	(a) *£ million at current prices*								
Consumers' expenditure	496.9	523.0	563.1	598.6	665.9	704.4	739.2	772	848
Public authorities' current expenditure	78.1	83.7	91.4	99.3	118.9	129.6	135.5	146	164
Gross fixed capital formation	89.7	108.5	128.3	148.5	174.2	198.1	195.0	215	255
Change in stocks and work in progress	+10.3	+7.9	+10.6	+10.7	+18.4	+22.5	+9.4	—6	+6
Domestic demand	675.0	723.1	293.5	857.1	977.4	1 054.6	1 079.1	1 127	1 273
Exports of goods and services	201.6	236.0	237.4	265.3	300.9	307.6	339.6	383	445
Aggregate demand	876.6	959.1	1 030.8	1 122.4	1 278.3	1 262.2	1 418.7	1 510	1 718
Less: Imports of goods and services	235.6	270.5	286.7	323.0	369.4	394.8	399.4	414	513
Net factor income from abroad	33.2	35.7	35.9	35.6	37.1	45.4	43.7	46	48
Gross national product at market prices	674.2	724.3	780.0	835.0	946.0	1 012.8	1 063.0	1 142	1 253
	(b) *£ million at constant (1958) prices*								
Consumers' expenditure	490.9	504.9	522.8	542.1	566.9	574.8	583.3	592	n.a.
Public authorities' current expenditure	73.2	74.7	77.1	80.1	83.1	85.9	86.2	91	n.a.
Gross fixed capital formation	87.9	103.1	117.9	133.8	147.9	162.3	155.5	165	n.a.
Change in stocks and work in progress	+10.2	+7.6	+10.7	+10.3	+16.5	+19.4	+8.3	—7	n.a.
Domestic demand	662.2	690.3	728.5	766.3	814.4	842.4	833.3	841	n.a.
Exports of goods and services	198.3	232.4	230.2	252.3	272.5	272.7	295.7	332	n.a.
Aggregate demand	860.5	922.7	958.7	1 018.6	1 086.9	1 115.1	1 129.0	1 173	n.a.
Imports of goods and services	236.5	264.2	283.9	314.2	354.8	369.7	372.8	389	n.a.
Net factor income from abroad	33.3	35.5	35.6	34.7	35.7	42.5	40.8	44	n.a.
Gross national product at market prices	657.3	689.0	710.4	739.1	767.8	787.9	797.0	828	n.a.

Source : National Income and Expenditure; Irish submission to the OECD.

Table B Production, Employment and other Economic Indicators

		1964	1965	1966	1967	1968	1967 I	1967 II	1967 III	1967 IV	1968 I	1968 II	1968 III	1968 IV
1	Volume of agricultural output[1] *(1953 = 100)*	115.1	111.6	112.3	115.0									
2	Cattle numbers *(thous., mid-year)*	4 962	5 359	5 590	5 586	5 548								
3	Index of industrial production (transportable goods)[2] *(1953 = 100)*													
	of which:	165.3	174.2	180.3	196.8		183.4	204.7	194.0	205.2	197.9	226.3	221.7	
4	Mining and quarrying[2]	224.6	217.2	301.3	359.3		261	495	414	267	284	566	558	
5	Manufacturing[2]	162.5	171.4	175.1	190.1		179.8	193.3	185.1	202.1	193.9	213.0	208.5	
6	Employment in transportable goods industries *(thousands)*[2,3]	181.8	182.7	185.6	186.7		183.7	186.2	188.2	188.7	185.0	189.9	192.1	
7	No. of males engaged in farm work *(thousands, 1st June)*	343.5	330.0	320.6	309.9									
8	Unemployment (registered) *(thousands)*	48	50	48	55	58	63	53	48	57	66	57	52	56
9	Net outward passenger movements by sea and air *(thousands)*[4]	—22	—27	—26	—49		—23	19	—42	—3	—12	+35	—45	
10	Average hours worked per week in transportable goods industries[5] *(number)*	44.3	44.0	44.2	43.8		43.4	43.5	43.8	44.0	43.1	43.8	43.8	
11	Value of average weekly retail sales *(1961 = 100)*	124	132	135	141		127	138	144	153	135	151	158	
12	New private cars registered for the first time[2] *(thousands)*	41.4	43.1	39.5	40.3		10.7	12.7	9.4	7.4	13.2	15.0	11.9	

1 Net output adjusted for stock changes; excluding turf.
2 For items 3, 4, 5, and 6 the figures for 1967 and 1968, and for item 12 the figures for 1968, are provisional.
3 Quarterly figures are for March, June, September and December; annual figures are averages.
4 + = net inward movement; — = net outward movement.
5 Annual figures are for September; quarterly figures relate to March, June, September and December.

Source: Irish Statistical Bulletin.

Table C **Prices and Wages**

		1964	1965	1966	1967	1968	1967 I	1967 II	1967 III	1967 IV	1968 I	1968 II	1968 III	1968 IV
1	Consumer prices[1] *(mid-August 1953 = 100)*	137.0	143.9	148.2	152.9	160.1	150.6	153.2	153.3	154.3	157.5	160.0	160.3	162.5
2	*of which:* Food prices *(mid-August 1953 = 100)*	132.8	140.9	141.7	144.4	152.7	141.4	145.0	145.9	145.2	150.8	154.2	153.3	152.6
3	Wholesale prices *(1953 = 100)*	126.8	131.6	134.2	137.7		136.3	138.4	137.0	139.0	143.6	146.0	145.9	
4	Industrial prices *(1953 = 100)*	128.1	132.5	137.9	143.0		140.7	143.2	143.5	144.4	146.4	148.6	149.8	
	of which :													
	Simply transformed goods	110.1	111.8	114.9	118.2		116.8	118.1	118.6	119.4	122.2	123.2	123.7	
	More elaborately transformed goods	134.9	140.5	146.5	152.2		149.7	152.6	152.9	153.8	155.5	158.1	159.7	
5	Average hourly earnings in transportable goods industries[2] *(October 1953 = 100)*	191.9	197.1	220.9	231.5	254.7	226.2	230.7	231.5	237.5	240.9	249.3	254.7	
6	Agricultural prices *(1953 = 100)*	113.1	117.7	115.9	118.3		118.8	118.9	114.9	124.1	132.1	131.1	128.7	
7	Price per head live weight of bullocks at Dublin auctions (£)	70.3	75.5	69.7	69.9		68.1	71.0	69.3	72.3	82.4	83.6		
8	Minimum weekly wages in agriculture[3] *(1953 = 100)*	178.2	197.2	212.9	221.5	240.2								

1 Quarterly figures for February, May, August and November; annual figures are averages.
2 Quarterly figures for March, June, September and December; annual figures are for September.
3 July in each year.

Source : Irish Statistical Bulletin.

Table D Money and Banking

	1964	1965	1966	1967	1968	1967 I	1967 II	1967 III	1967 IV	1968 I	1968 II	1968 III	1968 IV
1 Currency circulation (£ million (average of Saturdays) (unadjusted)	107.6	113.8	120.3	124.7	146.1	122.0	121.8	125.0	129.6	129.2	130.8	134.6	146.1
2 Rediscount rate of Central bank[1] *(per cent)*	$6\frac{13}{16}$	$5\frac{7}{8}$	$6\frac{7}{8}$	$7\frac{25}{32}$	$7\frac{11}{64}$	$5\frac{7}{8}$	$5\frac{1}{2}$	$5\frac{17}{32}$	$7\frac{25}{32}$	$7\frac{25}{64}$	$7\frac{7}{16}$	$6\frac{55}{64}$	$7\frac{11}{64}$
3 Price of 6 per cent Exchequer bonds[2] *(per £100 stock)*	$101\frac{7}{8}$	$97\frac{1}{4}$	$90\frac{1}{12}$	$89\frac{3}{4}$	$86\frac{1}{2}$	$87\frac{5}{8}$	$90\frac{5}{8}$	$91\frac{1}{8}$	$89\frac{7}{8}$	$88\frac{1}{8}$	$88\frac{3}{8}$	$85\frac{7}{8}$	$83\frac{7}{8}$
4 Price index number of ordinary stocks and shares[2] *(1953 = 100)*	325.5	316.2	295.1	294.5	420.0	272.2	284.6	300.4	320.9	357.6	410.6	449.3	462.6
Associated Banks[1] :													
5 Current accounts *(£ million)*	202.6	210.7	235.4	255.5	275.6	239.3	237.3	261.2	255.5	272.2	257.6	289.0	275.6
6 Deposit accounts *(£ million)*	257.4	274.2	306.0	353.2	429.5	316.8	325.5	336.2	353.2	371.2	389.8	409.8	429.5
7 Bills *(£ million)*	16.1	42.2	45.6	57.8	56.1	41.5	41.5	61.4	57.8	65.6	67.3	52.6	56.1
8 Loans and advances *(£ million)*	274.0	277.6	292.0	309.0	366.5	290.9	303.0	295.0	309.0	321.9	336.6	342.9	366.5
9 Net external assets *(£ million)*	93.4	89.3	85.2	130.7	74.4	101.3	107.3	116.1	130.7	129.9	122.3	127.1	74.4
10 Central Bank ratio *(per cent)*	23.4	22.9	23.6	25.8	20.3	26.0	25.5	26.1	25.8	24.9	23.9	23.4	20.3

1 End of period.
2 Averages during period.

Source : Central Bank Quarterly Bulletins.

Table E Foreign Trade and Payments

	1964	1965	1966	1967	1968	1967 I	1967 II	1967 III	1967 IV	1968 I	1968 II	1968 III	1968 IV
1 Imports, £ million, monthly averages	29.0	31.0	31.1	32.5	40.7	33.4	32.8	31.0	32.9	38.4	41.4	38.8	44.3
2 Exports, £ million, monthly averages	18.5	18.3	20.3	23.6	27.6	21.5	22.4	25.5	25.1	24.8	26.7	29.2	29.7
3 Trade blance, £ million, monthly averages	—10.5	—12.7	—10.8	—8.9	—13.1	—12.0	—10.4	—5.5	—7.8	—13.6	—14.7	—9.6	—14.6
4 Volume of imports *(1953 = 100)*	170.0	177.5	177.9	187.7		190.8	187.6	177.9	188.8	206.5	218.7	194.4	
5 Volume of exports *(1953 = 100)*	175.3	173.7	188.2	219.9		196.5	205.8	236.9	230.5	214.9	228.2	249.6	
6 Import prices *(1953 = 100)*	110.4	112.9	112.9	112.2		113.4	113.2	112.6	113.0	120.5	122.5	125.0	
7 Export prices *(1953 = 100)*	110.8	110.9	112.9	112.9		114.3	114.2	112.7	114.4	121.0	122.6	122.5	
8 Terms of trade *(1953 = 100)*	100.4	98.2	100.0	100.6		100.8	100.8	99.9	101.3	100.5	100.1	98.0	
Reserves (£ million, end of period) :													
9 Gold		6.7	7.3	8.0	31.0	7.4	7.7	7.8	8.0	13.6	27.6	32.2	31.0
10 IMF super gold tranche		—0.1	—7.7	—3.7	11.6	—7.7	—7.7	—7.7	—3.7	—0.1	10.3	10.3	11.6
11 Other official assets		134.8	168.3	164.4	173.3[1]	165.6	158.9	176.0	164.4	147.8	112.7	125.9	173.3[1]
12 External assets of the associated banks		89.3	85.2	130.7	74.4[1]	101.3	107.3	116.1	130.7	129.9	122.3	127.1	74.4[1]
13 Total		230.7	253.1	299.4	291.1	266.6	266.2	292.2	299.4	291.2	272.9	295.5	291.1

1 On November 28 £40 million sterling was transferred from the Associated Banks to the Central Bank in connection with the Basle Agreements.

Source : Irish Statistical Bulletin; Quarterly Bulletin of the Central Bank of Ireland.

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